BAP No. 00-0000

UNITED STATES BANKRUPTCY APPELLATE PANEL
FOR THE FIRST CIRCUIT

Example Creditor, Inc.
Appellant,

v.

Sample Debtor, *et al.*
Appellees.

On Appeal from the United States Bankruptcy Court for the District of Example
Bankruptcy Case No. 00-00000

BRIEF FOR APPELLANT

JANE A. EXAMPLE
Example Law Office
1 Sample Street
Boston, MA 02100

Telephone: (000) 000-0000

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STATEMENT REGARDING ORAL ARGUMENT

Appellant requests oral argument because the questions presented turn on an unsettled reading of the statute.

JURISDICTIONAL STATEMENT

The Panel has jurisdiction under 28 U.S.C. § 158(b) and (c). The order on appeal is a final order entered on January 2, 2030, and the notice of appeal was timely filed under Fed. R. Bankr. P. 8002(a). See *Sample v. Example*, 100 B.R. 1, 3 (1st Cir. BAP 2000); 28 U.S.C. § 158.

STATEMENT OF THE ISSUES

1. Whether the bankruptcy court erred in treating the claim as unsecured when the security agreement was perfected before the petition date. The standard of review is de novo for questions of law and clear error for findings of fact. See *Gamma Trust v. Delta Estate*, 300 F.3d 30, 34 (1st Cir. 2002).
2. Whether the court applied the wrong standard when it declined to apply the cramdown provisions to the secured portion of the claim. This question is reviewed de novo.

STATEMENT OF THE CASE

Appellant Example Creditor, Inc. extended a secured loan to the Debtor in 2021. The loan was secured by equipment and by the proceeds of that equipment. The security interest was recorded with the appropriate state office on the date the loan closed.

The Debtor filed a voluntary petition under chapter 11 of the Bankruptcy Code on March 3, 2029. Appellant filed a proof of claim asserting a secured claim in the amount of the outstanding principal and accrued interest. The Debtor objected, and the bankruptcy court held an evidentiary hearing on the objection over two days in November 2029.

At the hearing, the Debtor's witness testified that the equipment had declined in value. Appellant's witness testified to a different valuation, based on a recent sale of comparable equipment. The court did not admit the comparable sale into evidence, citing a late disclosure. Appellant objected to that ruling, and the objection was preserved on the record. App. at 14-15.

On January 2, 2030, the court entered an order treating Appellant's claim as unsecured to the extent it exceeded the value found for the equipment. App. at 27. The court did not address the proceeds argument that Appellant had raised in its pre-trial memorandum. App. at 31. Appellant timely filed a notice of appeal. App. at 40.

SUMMARY OF THE ARGUMENT

The bankruptcy court treated a perfected security interest as though it had lapsed. That error rests on a misreading of the recording statute and on a valuation that rested on a rejected exhibit. Either error alone requires vacatur.

On the first issue, the statute gives a perfected interest priority over later claims in the same collateral. Nothing in the Code converts that priority into an unsecured claim because the debtor later files a petition. On the second issue, the court excluded the only comparable-sale evidence and then adopted a valuation that depended on it. The order should be vacated and the matter remanded for a valuation that considers all of the evidence.

ARGUMENT

Point One: The Security Interest Was Perfected Before the Petition Date

A. Standard of review

The Panel reviews the bankruptcy court's conclusions of law de novo. The court's findings of fact are reviewed for clear error. Mixed questions are reviewed de novo. *Alpha Corp. v. Beta LLC*, 200 B.R. 20, 25 (Bankr. D. Mass. 1999).

B. The recording statute governs priority

The security agreement describes the collateral with enough particularity to attach. The financing statement was filed before the petition date and identified the collateral by type. Under the recording statute, that filing perfected the interest as of the date of filing. See *Gamma Trust v. Delta Estate*, 300 F.3d 30, 38-39 (1st Cir. 2002).

The bankruptcy court reasoned that perfection did not survive because the Debtor had moved the equipment to a second location. The record does not support that conclusion. The move was disclosed in the Debtor's own schedules, and the equipment remained within the state. Nothing in the statute requires a new filing when collateral is relocated within the same jurisdiction. The court's contrary reading would make the recording system unworkable for any business that moves its assets.

C. The Code does not convert a perfected interest into an unsecured claim

Section 506(a) values a secured claim by reference to the value of the collateral. It does not authorize the court to disregard a perfected interest because the debtor later files. See 11 U.S.C. § 000. The statute asks what the creditor's interest is worth in the collateral, not whether the creditor was diligent in the case.

The court relied on a line of decisions that treated a late-filed objection as a basis for recharacterization. Those decisions concern a different question. Here the objection was not late, and the Debtor does not argue that Appellant's interest was defective. See *Sample v. Example*, 100 B.R. 1, 9 (1st Cir. BAP 2000).

Point Two: The Valuation Rested on Excluded Evidence

A. The court excluded the only comparable sale

The comparable-sale exhibit was disclosed twelve days before the hearing. The Debtor had notice of it, and the Debtor's own expert reviewed it before testifying. A late-disclosure ruling is reviewed for abuse of discretion, but that discretion must be exercised with attention to prejudice. The court made no finding of prejudice. App. at 15.

B. The valuation cannot stand without that evidence

The court's valuation fell between the two witnesses' figures. That result is not explained by any finding about the comparable sale. The court said only that it had "considered all of the evidence," which is not a finding that would permit review. App. at 27. Where a valuation depends on an excluded exhibit and the order does not explain how the court reached its figure, the proper course is to vacate and remand. See Fed. R. Bankr. P. 8014.

Point Three: The Proceeds Argument Was Never Decided

Appellant's pre-trial memorandum argued that the security interest extended to the proceeds of the equipment, including the insurance payments received after the Debtor moved the equipment. The order does not mention that argument. Under the Code, a secured creditor is entitled to a ruling on each basis for its claim that it has properly raised. The omission is an independent ground for remand.

CONCLUSION

The order should be vacated. The Panel should hold that the security interest was perfected before the petition date, direct the bankruptcy court to value the secured claim using all of the admitted evidence, and direct it to decide the proceeds argument.

Respectfully submitted,
January 1, 2030

s/ JANE A. EXAMPLE
Counsel for Appellant
1 Sample Street
Boston, MA 02100
(000) 000-0000
jane@example.invalid

STATEMENT REGARDING RELATED CASES

1st Cir. BAP L.R. 8014-1(a)(2)

☐ The undersigned certifies that the following are known related cases and appeals:

☒ The undersigned certifies that the undersigned knows of no related cases or appeals as that term is defined in 1st Cir. BAP L.R. 8014-1(a)(2)(A).

CERTIFICATE OF COMPLIANCE

This brief complies with the type-volume limitation of Fed. R. Bankr. P. 8015(a)(7)(A) because it contains 1035 words, excluding the parts of the brief exempted under Fed. R. Bankr. P. 8015(g).

This brief complies with the typeface and type-style requirements of Fed. R. Bankr. P. 8015(a)(5) and (6) because it has been prepared in a proportionally spaced typeface, EB Garamond 14-point, using the vendored font.

s/ JANE A. EXAMPLE
Counsel for Appellant
Dated: January 1, 2030